

GENERATIVE AI'S

ACT TWO

From Technology Hammer to Real Value

Sonya Huang, Pat Grady and GPT-4
Sequoia Capital · September 2023

Six Decades of Technological Progress Converged to Enable Generative AI

6 DECADES

Moore's Law

Compute horsepower
to process exaflops of data

4 DECADES

Internet

Trillions of tokens
of training data
(accelerated by COVID)

2 DECADES

Mobile & Cloud

A supercomputer
in every human's palm

⚡ ChatGPT Sparks Cambrian Explosion

AI researchers became rockstars · Autonomous agents · Companionship bots · arXiv overflow

GenAI Startups Surpassed \$1B Revenue Faster Than SaaS Ever Did

>\$1 BILLION

in startup revenue — in months, not years

ChatGPT

**Fastest-growing
application in history**

Strong product-market fit
among students & developers

Midjourney

**Hundreds of millions
in revenue**

Team of just 11 people
— capital-light model

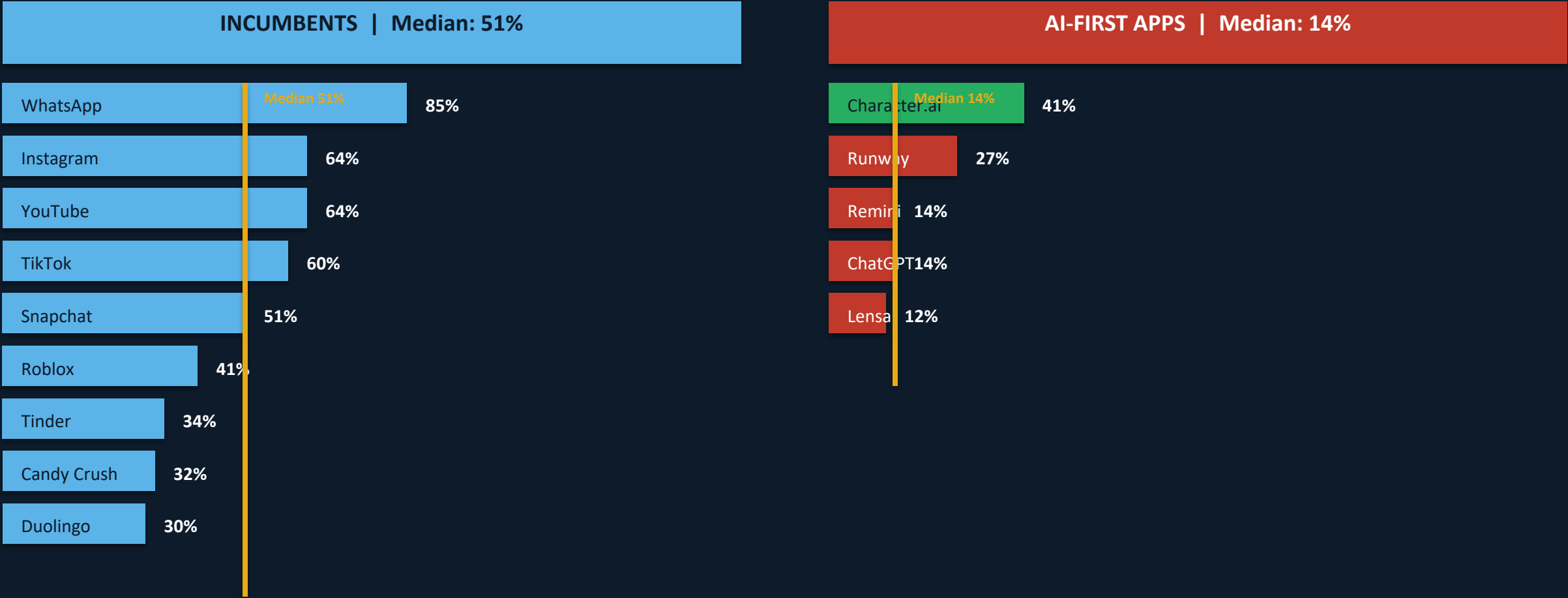
Character.ai

**2 hours per session
average in-app**

Popularized AI entertainment
& companionship

A more successful commercial start than SaaS — yet many AI companies still lack product-market fit or sustainable competitive advantage.

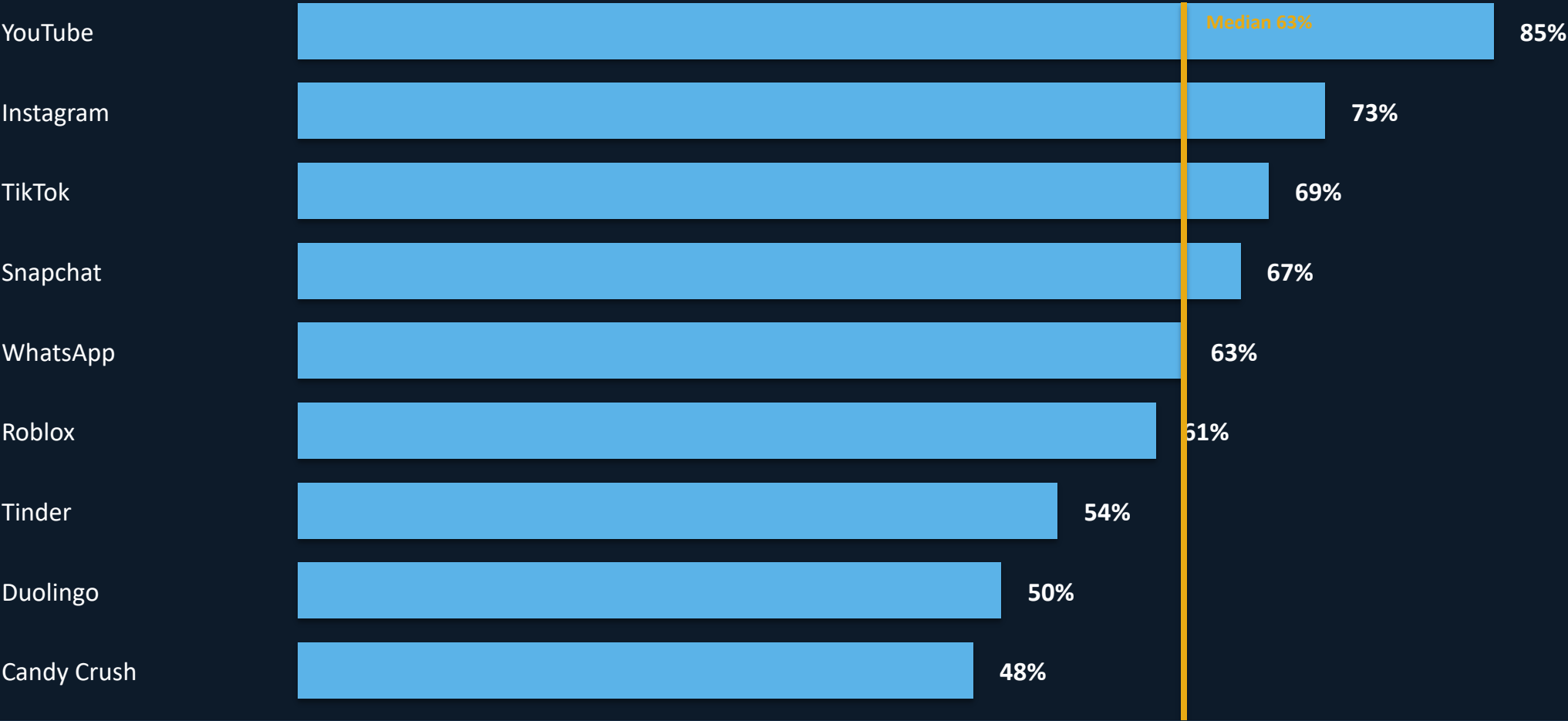
AI-First Apps Show 14% Median Retention vs. 51% for Incumbents



3.6× retention gap · Character.ai (41%) is the AI-first outlier — approaching incumbent levels · Companionship may be generative AI's strongest consumer use case

YouTube Leads Incumbents at 85% Monthly Active Usage

Monthly active usage benchmark for incumbent consumer apps · Median: 63%



The 63% monthly active usage median sets a formidable benchmark — AI-first apps must clear this bar to displace incumbents in daily habits.

Act 1 Was Technology-Out; Act 2 Is Customer-Back

ACT 1 · Technology-Out

- ✗ Foundation models = the entire product
- ✗ Novelty demos & lightweight wrappers
- ✗ Single-modal capabilities
- ✗ Thin AI layer atop existing workflows
- ✗ Poor retention — 14% median
- ✗ "AI Salesforce" · "AI Adobe" pitches
- ✗ Technology looking for a problem

VS

ACT 2 · Customer-Back

- ✓ Foundation models = one component of solution
- ✓ End-to-end problem solving
- ✓ Multi-modal workflows
- ✓ New editing interfaces — stickier outputs
- ✓ Solves real human problems
- ✓ Workflow-integrated, defensible moats
- ✓ Customer problem driving the solution

Act 2 Exemplars:

Harvey (legal LLMs) · Glean (enterprise search) · Character & Ava (companionship)

Market Map Reorganized by Use Case, Not Model Modality

ACT 1 MAP · Organized by Model Modality

Text	Image	Code
Audio	Video	3D / Other

Technology-first taxonomy



ACT 2 MAP · Organized by Use Case

Legal & Compliance	Harvey — custom LLMs for elite law firms
Enterprise Search	Glean — crawls & indexes workspaces
Companionship / Entertainment	Character · Ava — digital companions
Creative Workflows	Multi-modal, new editing interfaces
Developer Tools	End-to-end coding & deployment
<i>Use-case-driven, multi-modal taxonomy</i>	
Education & Productivity	Workflow-integrated solutions

The updated Sequoia market map is organized by use case rather than model modality — reflecting the evolution from technology hammer to actual value delivery.

Key Takeaways: What Separates Winners in Act Two

01 Retention Is the Critical Challenge

AI-first apps: 14% median retention vs. 51% for incumbents — a 3.6× gap that must be closed.

02 Foundation Models Are a Component, Not the Product

Use LLMs as one piece of a comprehensive end-to-end solution, not the entire offering.

03 Multi-Modal, Workflow-Integrated Solutions Win

New editing interfaces and deep workflow integration create stickiness and defensible moats.

04 \$1B+ Revenue Proves Real Demand Exists

GenAI outpaced SaaS revenue milestones despite hype cycles — the commercial opportunity is real.

05 Solve Human Problems End-to-End

Act 2 companies start with the customer problem. Harvey, Glean, Character, and Ava show the way.

The best Act 2 companies will be remembered not for the AI technology they used — but for the human problems they solved.